10. _____ are those debentures for which repayment is made after a specified period.
    a. Redeemable Debenture
    b. Irredeemable Debenture
    c. Convertible Debenture
    d. Secured Debenture

**Answers: 1. (b), 2. (b), 3(a) 4(a), 5.(c), 6.(b), 7.(a), 8.(a), 9.(b), 10.(a)**

**II. Very short answer questions:**

1. What do you mean by verification of liabilities?
2. What is calls-in advance?
3. What is a debenture?
4. What is calls-in arrears?
5. What is Bank Overdraft?

**III. Short answer questions:**

1. What do you mean by share capital?
2. What is contingent liability?
3. What do you understand by authorised capital?
4. What is reserve capital?
5. What are the kinds of Debentures?

**IV. Essay type questions:**

1. Explain the types of share capital
2. Explain the auditor's duty with regard to share capital
3. Explain the auditor's duty in respect of capital reserve
4. Explain the auditor's duty in relation to contingent liability?
5. As an Auditor, how will you verify loans taken by a business concern?

## References


1. A textbook Auditing Practical published by Tamilnadu textbook corporation, 2006.
2. Auditing Practical, Dr.G.Anitha, Dr.S.Sankari, Sai Selva Publisher's Distributors, Chennai.
3. Auditing Practical by S.Vengadamani, Margham Publications, Chennai.
4. Principles and Practice of Auditing, Dinkar Pagare, Sultan Chand Sons Educational Publishers, New Delhi, 2016.




Chapter_06.indd 97 18-12-2019 10:55:47